SELF-BILLING AGREEMENT

Reference: SBA-21-20260227-5DX6GT

In accordance with HMRC VAT Notice 700/62

Value Added Tax Act 1994, Section 29 | VAT Regulations 1995, Regulations 13(3) and 13(3A) to 13(3F)

The Customer (Self-Biller):

Company
LONDON, W1B 3HH
VAT Registration No: GB167222274

The Supplier (Self-Billee):

Security Smart Ltd
Unit 2B Wilson Park,Newton Heath Monsall Road,
Manchester, M40 8WN
Company Reg: 08569592
(Not VAT Registered — invoices at 0% VAT)

This Self-Billing Agreement is entered into on 27 Feb 2026 between the Customer (self-biller) and the Supplier (self-billee) named above, in accordance with HMRC VAT Notice 700/62.

1. Purpose and Legal Basis

This agreement establishes a self-billing procedure as provided for under Section 29 of the Value Added Tax Act 1994 and Regulations 13(3) and 13(3A) to 13(3F) of the VAT Regulations 1995. Under this arrangement, the Customer shall prepare invoices on behalf of the Supplier for all supplies of goods and/or services covered by this agreement, in compliance with HMRC VAT Notice 700/62.
VAT will be applied at the standard rate (currently 20%) where the Supplier is VAT registered, or at 0% where the Supplier is not VAT registered.

2. Scope of Supplies

This agreement covers all supplies of security staffing, guarding services, and related labour services provided by the Supplier to the Customer, including but not limited to:

- Security officer deployments and shift-based labour supply
- Event security and temporary staffing
- Any ancillary services agreed between the parties

3. Obligations of the Customer (Self-Biller)

The Customer (Company) agrees to:

- Issue self-billed invoices for all supplies made by the Supplier for the duration of this agreement (VAT Notice 700/62, Section 4.1)
- Issue a copy of each self-billed invoice to the Supplier
- Complete self-billed invoices showing the Supplier's name, address and VAT registration number, together with all the details that constitute a full VAT invoice as required by VATREC5010, including: a unique sequential invoice number, the time of supply (tax point), the Customer's and Supplier's details, a description of the services, the unit price, VAT rate and amounts, and the reference "SELF-BILLING" clearly marked on each invoice
- Make a new self-billing agreement if the Customer's VAT registration number changes
- Keep the names, addresses and VAT registration numbers of all suppliers with whom self-billing agreements exist, and produce this information for HMRC inspection on request
- Not issue self-billed VAT invoices on behalf of any supplier who is not registered for VAT (where VAT is being charged)
- Account for the VAT shown on all self-billed invoices in the appropriate VAT return
- Complete payment to the Supplier within the agreed payment terms

4. Obligations of the Supplier (Self-Billee)

The Supplier (Security Smart Ltd) agrees to:

- Accept invoices raised by the Customer on their behalf for the duration of this agreement
- Not raise invoices for the transactions covered by this agreement
- Notify the Customer immediately if the Supplier becomes VAT registered, providing their VAT registration number
- Notify the Customer immediately if the Supplier sells or transfers their business as a going concern
- Accept each self-billed invoice created by the Customer
- Keep records of all self-billed invoices received for a minimum of 6 years
- Approve or dispute timesheet entries within the agreed timeframe

5. VAT Compliance

- The Supplier is not currently VAT registered — all invoices will be issued at 0% VAT
- If the Supplier becomes VAT registered, the Supplier must immediately notify the Customer and provide their VAT registration number
- The Customer must be VAT registered for the duration of this agreement
- Any changes to VAT status must be communicated in writing without delay
- Input tax may only be claimed on self-billed invoices where the conditions in VAT Notice 700/62 are met

6. Adjustments: Debit Notes and Credit Notes

In accordance with VAT Notice 700/62, Section 4.5:

- The Customer shall not reduce the value of a supply for which a self-billed invoice has already been raised by reducing the total shown on a subsequent invoice
- Where the value of a supply needs to be adjusted, the Customer shall issue a self-billed debit note
- Where a self-billed invoice overstates the amount due, the Customer shall issue a self-billed credit note referencing the original invoice
- The Supplier agrees not to issue credit notes, debit notes, or any adjusting documents for supplies covered by this agreement

7. Electronic Invoicing

In accordance with HMRC VAT Notice 700/63 (Electronic Invoicing):

- The Supplier consents to receiving self-billed invoices in electronic format via the Gardeo platform
- Electronic invoices issued under this agreement are the legal documents for VAT purposes
- The Gardeo platform ensures the authenticity of origin, the integrity of content, and legibility through business controls that create a reliable audit trail between invoices and supplies
- All electronic invoices contain the same information as would be required on paper invoices as detailed in VATREC5010
- The total amount of VAT chargeable is expressed in sterling

8. Third Party Outsourcing
In accordance with VAT Notice 700/62, Section 4.4: the Customer may use the Gardeo workforce management platform as a third-party service provider to issue self-billed invoices on the Customer's behalf. The Customer remains responsible for ensuring that invoices are issued correctly, for maintaining self-billing agreements, and for producing records for HMRC inspection.

9. Duration and Renewal
- This agreement is valid for 12 months from the date of signing
- The agreement may be renewed by mutual consent for further 12-month periods, in accordance with VAT Notice 700/62, Section 3.3.1
- The Customer will review this agreement before its expiry to confirm the Supplier is willing to continue the self-billing arrangement (VAT Notice 700/62, Section 3.3.2)
- Both parties must avoid self-billing at any time when a valid written agreement is not in place

10. Termination
Either party may terminate this agreement by giving 30 days' written notice to the other party. Termination is automatic and immediate if:
- The Customer ceases to be VAT registered
- Either party goes into administration, receivership, or liquidation
- The Supplier transfers the business as a going concern

Upon termination, the Customer shall issue any outstanding self-billed invoices within 14 days.

11. Record Keeping
In accordance with HMRC VAT Notice 700/21 (Record Keeping):
- Both parties agree to keep all self-billed invoices, credit notes, debit notes, and records relating to this agreement for a minimum of 6 years, or such longer period as may be required by HMRC
- Records must be complete, up to date, and allow correct calculation of VAT payable or claimable
- These records must be made available for inspection by HMRC visiting officers on request
- The Customer must keep a list of all suppliers with whom self-billing agreements are in place
- Digital records maintained through the Gardeo platform satisfy the requirements for functional compatible software under Making Tax Digital

12. Governing Law
This agreement shall be governed by and construed in accordance with the laws of England and Wales. Any disputes arising under this agreement shall be subject to the exclusive jurisdiction of the courts of England and Wales.

Signed on behalf of the Supplier:

Name: Masood Chaudhry
Position: M D
Date: 27 Feb 2026
Time: 27 February 2026 at 01:41:14
Signed from IP: 147.12.214.115
Method: Digital signature via Gardeo platform

Agreement Period:
From: 27 Feb 2026
To: 27 Feb 2027

HMRC Compliance References:
VAT Notice 700/62 — Self-billing | VAT Notice 700/21 — Record keeping | VAT Notice 700/63 — Electronic invoicing | VATREC5010 — Full VAT invoice details
Legal Basis: Value Added Tax Act 1994, Section 29 | VAT Regulations 1995, Regulations 13(3) and 13(3A) to 13(3F)